fact that it was in default status will be DELETED from your credit report. You go back to just like it never happened.

If you had paid it off, like the collection agent wanted you to, your credit report would show a defaulted item paid up, but it would still be hanging around on your credit report for seven years. This way, it disappears. By doing it the rehabilitation way, poof, it is gone!

This method is available for all federally guaranteed loans. The collection agency guys are not going to tell you about this. They want you to cough it all up to them. Hopefully you won't find yourself in default status. But if you do, come up with a way to make the monthly payments through the rehabilitation program and get back in good standing. Once you get back on track of making the payments on time every month, you get your IRS refunds again as well. For more information, visit online at http://www.ed.gov/offices/OSFAP/DCS/rehabilitation.html.

Consolidation

You also need to be aware that student loan consolidation is only allowed once. Over the course of your education, it is likely that you will have several student loans. Loans are usually given each semester, so over the four or five years of college, you could have 8 to 10 loans of various amounts with different interest rates. Upon graduation, you are allowed to lump them all together in one loan with one payment. The average weighted value of all the interest rates determines the interest rate, and the total amount of loan value will push out the time period for payments. For example, if the total loan is now $10,000, you may get ten years to repay. If the total loan adds up to $100,000 you may get a 30 year term to repay. See http://loanconsolidation.ed.gov/ for more details, or call the US Department of Education at 1-800-557-7392. It makes sense to consolidate. You don't want to make eight payments when you can make just one.

A word to the wise: you can prepay your student loans. Assume your monthly payment is $100 and you are able to double it. The extra $100 goes right against principal and that dramatically reduces the amount of time and the amount of interest you pay. If you can at all afford it, pay it down!